



cent attrition and also a similar wage growth number. But millions of people are experiencing this wage growth; it can only be good [for the economy] unless it starts becoming a source of inflation itself. The third thing is the PLI schemes. The schemes have been well-structured. I think there is a sense of positivity you feel from young people, from business people, and from investors and foreigners. We are seeing good activity in areas like renewables, payment infrastructure, EVs, real estate, especially commercial real estate, IT, etc. There are large transactions happening in the secondary market, especially M&As.

Q: Indian banking is becoming a big boys' club. We have half a dozen large PSBs created out of mergers. HDFC group is strengthening its balance sheet through a merger of HDFC Ltd and HDFC Bank. How do you see the emerging landscape?

A: For a country of our size, we need more lend-

“In FY22, India received gross FDI of almost \$83 billion... not because interest rates were zero or lower [in other parts of the world], but because of the opportunity to make returns of high teens-plus”

ers, not fewer. We are a very large country. We are not [among] the most credit-deprived countries of our scale and size in the world. There is enough for everybody. The regulators have created the right environment with things like IMPS, UPI, consent-based downloading of KYC, account aggregators, credit bureaus, downloading GST returns, downloading EPF returns, etc. It's a data-rich country. And therefore, for banks, the opportunities are immense. It is a fact that five or six banks are grabbing more of those opportunities. There will always be laggards and also winners. But you would also have to say that some of the stronger PSU banks are beginning to make a comeback. I would say till two years ago, they were too defensive. Even on the MSME side, with so much more data [points] like GST and EPFO data, there are ways to provide credit to small entrepreneurs.

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Q: India is one of the three largest contributors to HSBC's group profits, the other two being Hong Kong and China. What are the big focus areas and the growth drivers in India?

A: We are in the midst of very significant customer acquisition across all segments, whether it is mortgages, credit cards, wealth customers, whether it is customers who want to send their kids abroad to study, whether it is companies which need LCs and guarantees, FEMA, FDI, advisory, regulatory reporting, etc. We are spending money to attract customers. We want to double, triple, or quadruple our customer base across segments. The real opportunity for us is to just acquire customers at a very rapid scale. We are resetting our aspirations and our ambitions in the country. We are a truly global international bank. The high-level strategies—significant expansion in customers on the back of that very meaningful desire to grow our balance sheet—[will help us] become a much more Indian bank. We can be a much more relevant player in society. **BT**

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This interview took place before the RBI's June credit policy